Registration number: 05799085

Howden Joinery People Services Ltd.

Annual Report and Financial Statements

for the Period from 27 December 2015 to 24 December 2016

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Howden Joinery People Services Ltd.

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Howden Joinery People Services Ltd.

Company Information

Directors	Theresa Keating Gareth Hopkins Mark Robson Rob Fenwick
Company secretary	Forbes McNaughton
Registered office	40 Portman Square London W1H 6LT
Auditor	Deloitte LLP 2 New Street Square London United Kingdom

Howden Joinery People Services Ltd.

Strategic Report for the Period from 27 December 2015 to 24 December 2016

The directors present their strategic report for the period from 27 December 2015 to 24 December 2016.

The Company's principal activity is described in the Directors' Report, which is located immediately below this Strategic Report. The Company's financial Key Performance Indicators are as shown in the Profit and Loss Account and Balance Sheet. We do not consider there to be any non-financial Key Performance Indicators relevant to the Company, other than those listed in the Group annual report, as detailed in the paragraph immediately below.

The Group manages its operations on a Group basis and therefore prepares a consolidated group annual report and accounts, including a consolidated strategic report. Pursuant to Section 414(A) (4) of the Companies Act 2006 (Strategic Report and Directors' Report) Regulations 2013, which provides that a group strategic report may give greater emphasis to the matters that are significant to the undertakings included in the consolidation when taken as a whole, the following information in relation to the Company can be found in the Group annual report on the pages listed:

- Fair review of the business (pgs14-19)
- Description of the principal risks and uncertainties facing the Group and its subsidiary undertakings (pgs 22-26)
- Financial and non-financial KPIs (pgs 17-18, 32-38)
- Future developments (pgs 7, 17)
- Information about environmental matters, social, community and human rights issues (pgs 29-41)
- Description of business model and strategy (pgs 8-13)
- Information in relation to Group employees, including gender statistics, employee involvement and Group policy on the employment of disabled persons (pgs 57, 79, 95)

This report is available as part of the Group's Annual Report which is available at http://www.howdenjoinerygroupplc.com/ and which does not form part of this report.

Approved by the Board on 19 September 2017 and signed on its behalf by:

Theresa Keating
Director

Howden Joinery People Services Ltd.

Directors Report for the Period from 27 December 2015 to 24 December 2016

The directors present their annual report and the audited financial statements for the period from 27 December 2015 to 24 December 2016.

Directors of the company
The directors who held office during the period were as follows:

Theresa Keating

Gareth Hopkins

Mark Robson

Rob Fenwick

Principal activity
The principal activities of the Company, throughout the periods under review, are providing and managing employees for other Group companies.

Employees
The Company had 1,637 *(prior period: 1,533)* employees during the current period and staff costs amounted to £71.1m *(prior period: £67.3m)*.

Dividends
A dividend of £3.4m was proposed and paid during the current period *(prior period: a dividend of £2.1m was proposed and paid)*.

Financial instruments
Objectives and policies, price risk, credit risk, liquidity risk and cash flow risk
These are managed on a Group basis. Further information can be found on pages 18-19 of the Howden Joinery Group Plc 2016 Annual Report and accounts, which is available at
http://www.howdenjoinerygroupplc.com/investors/financial-reporting/reports/index.asp

Political donations
The Company did not make any political donations in the current or prior period.

Going concern
The Company is able to meet its day-to-day working capital requirements through cash generated from operations. If required, the Company also has access to its parent company's asset-backed lending facility of £140m which expires in July 2019.

The Company's forecasts and projections have been stress-tested for reasonably possible adverse variations in economic conditions and trading performance. After reviewing the results of this testing, and making due enquiries, the directors have a reasonable expectation that the Company has adequate resources to continue in operational existence for the foreseeable future. Accordingly, they continue to adopt the going concern basis in preparing the financial statements.

Disclosure of information to the auditors
Each director has taken steps that they ought to have taken as a director in order to make themselves aware of any relevant audit information and to establish that the company's auditor is aware of that information. The directors confirm that there is no relevant information that they know of and of which they know the auditor is unaware.

Reappointment of auditors
Deloitte LLP have indicated their willingness to be reappointed for another term and will be deemed to be reappointed in accordance with s485 - 488 of the Companies Act 2006.

Approved by the Board on 19 September 2017 and signed on its behalf by:

Theresa Keating
Director

Howden Joinery People Services Ltd.

Statement of Directors' Responsibilities

The directors are responsible for preparing the Annual Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law), including FRS 101 'Reduced Disclosure Framework' ('FRS 101'). Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

Howden Joinery People Services Ltd.

Independent Auditor's Report

We have audited the financial statements of Howden Joinery People Services Ltd. for the period from 27 December 2015 to 24 December 2016, which comprise the Profit and Loss Account, the Statement of Comprehensive Income, the Balance Sheet, the Statement of Changes in Equity and the related notes 1 to 16. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice), including FRS 101 "Reduced Disclosure Framework".

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed.

Respective responsibilities of directors and auditor

As explained more fully in the Statement of Directors' Responsibilities (set out on page 5), the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view. Our responsibility is to audit and express an opinion on the financial statements in accordance with applicable law and International Standards on Auditing (UK and Ireland). Those standards require us to comply with the Auditing Practices Board's (APB's) Ethical Standards for Auditors.

Scope of the audit of the financial statements

An audit involves obtaining evidence about the amounts and disclosures in the financial statements sufficient to give reasonable assurance that the financial statements are free from material misstatement, whether caused by fraud or error. This includes an assessment of: whether the accounting policies are appropriate to the company's circumstances and have been consistently applied and adequately disclosed; the reasonableness of significant accounting estimates made by the directors; and the overall presentation of the financial statements. In addition, we read all the financial and non-financial information in the Annual Report to identify material inconsistencies with the audited financial statements and to identify any information that is apparently materially incorrect based on, or materially inconsistent with, the knowledge acquired by us in the course of performing the audit. If we become aware of any apparent material misstatements or inconsistencies we consider the implications for our report.

Opinion on the financial statements

In our opinion the financial statements:

- give a true and fair view of the state of the company's affairs as at 24 December 2016 and of its profit for the period then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Opinion on other matter prescribed by the Companies Act 2006

In our opinion the information given in the Strategic Report and Directors Report for the financial period for which the financial statements are prepared is consistent with the financial statements.

Howden Joinery People Services Ltd.

Independent Auditor's Report (continued)

Matters on which we are required to report by exception

We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

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Edward Hanson (Senior Statutory Auditor)
For and on behalf of Deloitte LLP, Statutory Auditor

2 New Street Square
London
United Kingdom

19 September 2017

Howden Joinery People Services Ltd.

Profit and Loss Account for the Period from 27 December 2015 to 24 December 2016

	Note	27 December 2015 to 24 December 2016 £ 000	(As restated) Year ended 26 December 2015 £ 000
Turnover	4	76,775	87,612
Cost of sales		(74,012)	(70,193)
Operating profit		2,763	17,419
Other interest receivable and similar income	5	18	35
Profit before tax		2,781	17,454
Tax on profit on ordinary activities	9	(617)	(48)
Profit for the period		2,164	17,406

The above results were derived from continuing operations.

Howden Joinery People Services Ltd.

Statement of Comprehensive Income for the Period from 27 December 2015 to 24 December 2016

	Note	27 December 2015 to 24 December 2016 £ 000	(As restated) Year ended 26 December 2015 £ 000
Profit for the period		2,164	17,406
Total comprehensive income for the period		2,164	17,406

The notes on pages 12 to 24 form an integral part of these financial statements.

Howden Joinery People Services Ltd.

(Registration number: 05799085)
Balance Sheet as at 24 December 2016

	Note	24 December 2016 £ 000	(As restated) 26 December 2015 £ 000
Fixed assets			
Deferred tax assets	9	434	1,279
Current assets			
Debtors	10	18,219	17,520
Creditors: Amounts falling due within one year			
Income tax liability	9	28	1,181
Net current assets		18,247	18,701
Net assets		18,681	19,980
Capital and reserves			
Called up share capital	11	-	-
ESOP Reserve		3,902	3,712
Retained earnings		14,779	16,268
Shareholders' funds		18,681	19,980

Approved by the Board on 19 September 2017 and signed on its behalf by:

Theresa Keating

Director

Howden Joinery People Services Ltd.

Statement of Changes in Equity for the Period from 27 December 2015 to 24 December 2016

	Share capital £ 000	ESOP Reserve £ 000	Retained earnings £ 000	Total £ 000
At 27 December 2015	-	3,712	16,268	19,980
Profit for the period	-	-	2,164	2,164
Dividends	-	-	(3,444)	(3,444)
Current tax on share schemes	-	-	328	328
Deferred tax on share schemes	-	-	(537)	(537)
Share based payment transactions	-	190	-	190
At 24 December 2016	-	3,902	14,779	18,681

	Share capital £ 000	ESOP reserve £ 000	Retained earnings £ 000	Total £ 000
At 27 December 2014	-	3,022	294	3,316
Profit for the period	-	-	17,406	17,406
Dividends	-	-	(2,120)	(2,120)
Current tax on share schemes	-	-	1,179	1,179
Deferred tax on share schemes	-	-	(491)	(491)
Share based payment transactions	-	690	-	690
At 26 December 2015	-	3,712	16,268	19,980

The notes on pages 12 to 24 form an integral part of these financial statements.

Howden Joinery People Services Ltd.

Notes to the Financial Statements for the Period from 27 December 2015 to 24 December 2016

1 General information

The company is a private company limited by share capital incorporated and domiciled in England.

The address of its registered office is:
40 Portman Square
London
W1H 6LT
England

These financial statements were authorised for issue by the Board on 19 September 2017.

2 Accounting policies

Summary of significant accounting policies and key accounting estimates
The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

Basis of preparation
These financial statements were prepared in accordance with Financial Reporting Standard 101 Reduced Disclosure Framework. They are prepared on the historical cost basis.

Summary of disclosure exemptions
As permitted by FRS 101, the Company has taken advantage of the disclosure exemptions available under that standard in relation to business combinations, share-based payment, non-current assets held for sale, financial instruments, capital management, presentation of comparative information in respect of certain assets, presentation of a cash-flow statement, standards not yet effective, impairment of assets and related party transactions.

Where relevant, equivalent disclosures have been given in the group accounts of Howden Joinery Group Plc. These group accounts are available to the public and can be obtained from this company's registered office or at http://www.howdenjoinerygroupplc.com/investors/financial-reporting/reports/index.asp.

Going concern
The financial statements have been prepared on a going concern basis.

Changes in accounting policy
None of the standards, interpretations and amendments effective for the first time from 27 December 2015 have had a material effect on the financial statements, other than FRS 101 whose effects are described in the relevant note to these accounts.

2 Accounting policies (continued)

Revenue recognition
Revenue comprises the fair value of the consideration received or receivable for the sale of goods and provision of services in the ordinary course of the company's activities. Revenue is shown net of sales/value added tax, returns, rebates and discounts and after eliminating sales within the company.

The company recognises revenue when:
The amount of revenue can be reliably measured;
it is probable that future economic benefits will flow to the entity;
and specific criteria have been met for each of the company activities.

Finance income and costs policy
Interest income is recognised in the income statement as it accrues, using the effective interest method.

Tax
The tax expense for the period comprises current and deferred tax. Tax is recognised in profit or loss, except that a change attributable to an item of income or expense recognised as other comprehensive income is also recognised directly in other comprehensive income.

The current income tax charge is calculated on the basis of tax rates and laws that have been enacted or substantively enacted by the reporting date in the countries where the company operates and generates taxable income.

Deferred income tax is recognised on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the financial statements and on unused tax losses or tax credits in the company. Deferred income tax is determined using tax rates and laws that have been enacted or substantively enacted by the reporting date.

The carrying amount of deferred tax assets are reviewed at each reporting date and a valuation allowance is set up against deferred tax assets so that the net carrying amount equals the highest amount that is more likely than not to be recovered based on current or future taxable profit.

Share capital
Ordinary shares are classified as equity. Equity instruments are measured at the fair value of the cash or other resources received or receivable, net of the direct costs of issuing the equity instruments. If payment is deferred and the time value of money is material, the initial measurement is on a present value basis.

Dividends payable
Dividend distribution to the company's shareholders is recognised as a liability in the company's financial statements in the period in which the dividends are approved by the company's shareholders.

Share based payments
The company operates an equity-settled, share-based compensation plan, under which the entity receives services from employees as consideration for equity instruments (options) of the entity. The fair value of the employee services received is measured by reference to the estimated fair value at the grant date of equity instruments granted and is recognised as an expense over the vesting period. The estimated fair value of the option granted is calculated using a binomial option pricing model. The total amount expensed is recognised over the vesting period, which is the period over which all of the specified vesting conditions are to be satisfied.

3 Critical accounting judgements and key sources of estimation uncertainty

There are no critical accounting judgements or key sources of estimation uncertainty which affect the application of policies or the amounts reported in these financial statements.

4 Revenue

The analysis of the company's revenue for the period from continuing operations is as follows:

	27 December 2015 to 24 December 2016 £ 000	(As restated) Year ended 26 December 2015 £ 000
Rendering of services	76,775	87,612

5 Other interest receivable and similar income

	27 December 2015 to 24 December 2016 £ 000	Year ended 26 December 2015 £ 000
Other finance income - intercompany interest	18	35

6 Staff costs

The aggregate payroll costs (including directors' remuneration) were as follows:

	27 December 2015 to 24 December 2016 £ 000	(As restated) Year ended 26 December 2015 £ 000
Wages and salaries	62,776	58,519
Social security costs	6,720	6,861
Pension costs, defined contribution scheme	1,422	1,179
Pension costs, defined benefit scheme	3,400	3,500
Share-based payment expenses	190	691
	74,508	70,750

The average number of persons employed by the company (including directors) during the period, analysed by category was as follows:

6 Staff costs (continued)

	27 December 2015 to 24 December 2016 No.	Year ended 26 December 2015 No.
Production	1,391	1,300
Administration and support	246	233
	1,637	1,533

7 Directors' remuneration

The directors' remuneration for the period was as follows:

	27 December 2015 to 24 December 2016 £ 000
Remuneration	611
Contributions paid to money purchase schemes	24
	635

During the period the number of directors who were receiving benefits and share incentives was as follows:

	27 December 2015 to 24 December 2016 No.	Year ended 26 December 2015 No.
Received or were entitled to receive shares under long term incentive schemes	1	2
Exercised share options	1	2
Accruing benefits under defined benefit pension scheme	1	2

7 Directors' remuneration (continued)

In respect of the highest paid director:

	27 December 2015 to 24 December 2016 £ 000	Year ended 26 December 2015 £ 000
Remuneration	612	613
Defined benefit accrued pension entitlement at the end of the period	47	44

During the period the highest paid director exercised share options and also received or was entitled to receive shares under a long term incentive scheme.

8 Auditor's remuneration

	27 December 2015 to 24 December 2016 £ 000	Year ended 26 December 2015 £ 000
Audit of the financial statements	8	6
Other fees to auditor		
All other tax advisory services	20	7

9 Income tax

Tax charged/(credited) in the income statement

	27 December 2015 to 24 December 2016 £ 000	(As restated) Year ended 26 December 2015 £ 000
Current taxation		
UK corporation tax	300	18
UK corporation tax adjustment to prior periods	10	(10)
	310	8
Deferred taxation		
Arising from origination and reversal of temporary differences	307	40
Tax expense in the income statement	617	48

9 Income tax (continued)

The tax on profit before tax for the period is not the same as the standard rate of corporation tax in the UK (2015 - the same as the standard rate of corporation tax in the UK) of 20% (2015 - 20.25%).

The differences are reconciled below:

	27 December 2015 to 24 December 2016 £ 000	(As restated) Year ended 26 December 2015 £ 000
Profit before tax	2,781	17,454
Corporation tax at standard rate	556	3,534
Increase (decrease) in current tax from adjustment for prior periods	10	(10)
Increase (decrease) from effect of expenses not deductible in determining taxable profit (tax loss)	1	1
Increase (decrease) from effect of exercise employee share options	52	(271)
Deferred tax expense (credit) relating to changes in tax rates or laws	(2)	-
Other tax effects for reconciliation between accounting profit and tax expense (income)	-	(3,206)
Total tax charge	617	48

Deferred tax

Deferred tax assets and liabilities

2016	**Asset £ 000**
Share-based payment	(434)

2015	**Asset £ 000**
Share-based payment	(1,279)

9 Income tax (continued)

Deferred tax movement during the period:

	At 27 December 2015 £ 000	Recognised in income £ 000	Recognised in equity £ 000	At 24 December 2016 £ 000
Share-based payment	(1,279)	307	537	(434)

Deferred tax movement during the prior year:

	At 27 December 2014 £ 000	Recognised in income £ 000	Recognised in equity £ 000	At 26 December 2015 £ 000
Share-based payment	(1,810)	40	491	(1,279)

Deferred Tax

On the 8 July 2015, the Chancellor of the Exchequer announced the reduction in the main rate of UK corporation tax to 19% for the year starting 1 April 2017 and a further reduction to 18% from 1 April 2020. These changes were substantively enacted in October 2015.

On the 16 March 2016, the Chancellor of the Exchequer announced a further 1% reduction to the previously announced 18% main rate of UK corporation tax to 17% from 1 April 2020. This change was substantively enacted in September 2016. All deferred tax assets and liabilities have been measured at the tax rates that are expected to apply to the period when the asset is realised or liability is settled.

The company has trading losses of £5.7m (2015: £5.7m). These losses are available for offset against future trading profits. No deferred tax asset has been recognised in respect of these losses as no further utilisation is currently anticipated.

10 Trade and other receivables

	24 December 2016 £ 000	(As restated) 26 December 2015 £ 000
Receivables from related parties	18,219	17,520

11 Share capital

Allotted, called up and fully paid shares

	24 December 2016		26 December 2015	
	No. 000	£ 000	No. 000	£ 000
Ordinary shares of £1 each	-	-	-	-

The Company's share capital at the current and prior period end consisted of 1 £1 ordinary share

12 Pension and other schemes

Defined contribution pension scheme

The company operates a defined contribution pension scheme. The pension cost charge for the period represents contributions payable by the company to the scheme and amounted to £1,421,759 (2015 - £1,178,579).

Defined benefit pension schemes

Plans that share risks between entities under common control

The Howden Joinery Group operates a funded pension plan which provides benefits based on the career average pensionable pay of participating employees. This plan was closed to new entrants from April 2013.

The plan shares risks between wholly-owned Group subsidiaries which are each under the control of the ultimate parent company. These risks are shared between this Company and two other wholly-owned Group subsidiaries.

There is no contractual agreement or stated policy for charging the net defined benefit cost between the participating subsidiaries. Howden Joinery Corporate Services Limited is the sponsoring employer, so the entire net defined benefit pension cost, and the entire pension deficit, appears in that company's accounts.

This company and the other participating Group subsidiary company, recognises a cost in its accounts equal to their contribution for the period.

13 Share-based payments

The ultimate parent company, Howden Joinery Group Plc ("the Group") operates various share-based payment schemes for employees in its subsidiary companies, all of which relate to shares in the Group. There are no share-based payment schemes relating to the shares in the Company. The various Group schemes are described below.

13 Share-based payments (continued)

Share Incentive Scheme ("Freeshares")

Scheme description

This is an all-employee share incentive plan whereby participants receive a grant of free shares in the Group. If the employees are still employed by the Group three years after the grant, then the shares vest. Dividends are paid out on the shares between award date and vesting date. There are no other performance conditions attached to these awards.

Share Award Plan

Scheme description

This is a discretionary plan under which the Group may grant nil cost options subject to conditions as determined by the Group. The shares will vest at the end of a five year period commencing on the date of grant, subject to continuing employment.

Co-investment Plan ("COIP")

Scheme description

This is a co-investment plan where each participant is permitted to invest a limited amount of shares on an annual basis for the purposes of the Plan. Details of the plan conditions are as follows:
Date of award 2013 2014 2015 2016
Vesting based on growth in profits - from year ended December 2012 2013 2014 2015
for the three-year period ending with the year ended December 2015 2016 2017 2018
Award vests at 25% if profits over the vesting period grow by 6% N/A N/A N/A
Award vests at 15% if profits over the vesting period grow by N/A 8% 8% 8%
Award vests at 100% if profits over the vesting period grow by 12% 20% 20% 20%

If profits grow by a figure between the upper and lower thresholds for each year, the award will vest on a sliding scale.

Howden Joinery Group Long Term Incentive Plan ("LTIP")

Scheme description

This is a discretionary plan under which the Group may grant different types of share award including market value and nil cost options, conditional awards of shares and restricted shares (where the employee is the owner of the shares from the date of award but subject to forfeiture). The different types of awards are as follows:
(i) Market value options, the vesting period for which is three years from the date of grant with an exercise period of seven years (i.e. a total life of ten years). Options will vest if cumulative PBT of £90m is achieved over the three financial years ending 2009, 2010 and 2011.
(ii) Market value options which vest after a three year period from the date of grant. 15% of the options will vest if the group achieves growth in pre-exceptional PBT equivalent to RPI over the performance period; 100% will vest if pre-exceptional PBT growth is equivalent to RPI + 8% is achieved.
(iii) Conditional Share Award - shares will vest at the end of a three year period commencing on the date of grant subject to continuing employment.
(iv) Market value options. The vesting conditions for these options are the same as for that year's COIP, which are shown above
(v) Performance share plan. Vesting conditions are as follows:
Date of award 2015 2016
Vesting based on growth in profits - from year ended December 2014 2015
for the three-year period ending with the year ended December 2017 2018
Award vests at 15% if profits over the vesting period grow by 8% 8%
Award vests at 100% if profits over the vesting period grow by 20% 20%

14 Dividends

	24 December 2016 £ 000	26 December 2015 £ 000
Final dividend of £3,444.00 (2015 - £2,120.00) per ordinary share	3,444	2,120

15 Parent and ultimate parent undertaking

The company's immediate parent is Howden Joinery Group Plc.

The ultimate parent, who produces consolidated financial statements which include this company, is Howden Joinery Group Plc.

The most senior parent entity producing publicly available financial statements is Howden Joinery Group Plc. These financial statements are available upon request from 40 Portman Square, London, W1H 6LT, or http://www.howdenjoinerygroupplc.com/investors/financial-reporting/reports/index.asp .

The ultimate controlling party is Howden Joinery Group Plc.

16 Transition to FRS 101

This is the first time that the Company has presented its financial statements under FRS 101 (Financial Reporting Standard 101) issued by the Financial Reporting Council. The following disclosures are required in the year of transition. The last financial statements under a previous UK GAAP (pre-2015 UK GAAP) were for the 52 week period ended 26 December 2015 and the date of transition to FRS 101 was therefore 27 December 2015.

On adopting FRS101, the Company made adjustments relating to:
- tax on share options and;
- pensions.

The nature of these adjustments is described below, and the financial effect of the adjustments is shown in the tables which follow.

Tax on share options
Under previous UK GAAP deferred tax was provided for timing differences between when an amount was taxable or allowable for tax purposes and when it was recognised in the profit and loss account. Under FRS 101 deferred tax is provided on temporary differences based upon the discrepancy between the tax base and the carrying value of assets and liabilities. This has given rise to an additional deferred tax asset at 31 December 2014 which relates to future corporate tax deductions for share options.

Pensions
The Company is part of a Group defined benefit pension scheme which covers a number of subsidiaries under common control. Under previous UK GAAP, none of the subsidiaries which participated in the pension scheme was held to be responsible for the assets and liabilities of the scheme, and the cash paid to the scheme in a period from the Group's central bank account was recharged between the participating companies and charged to their individual profit and loss accounts accordingly. Under FRS 101 one of the other participating subsidiaries is now held to be responsible for the scheme's assets and liabilities and the basis of charging in each participating company has altered.

The pensions-related charge in 2015 under previous UK GAAP was higher than under FRS 101, which has given rise to a difference in the profit and loss account charge for pensions, and a corresponding difference in debtors (relating to amounts recharged between fellow Group subsidiaries).

16 Transition to FRS 101 (continued)

Balance sheet at 27 December 2014

	Note	As originally reported £ 000	Remeasurement £ 000	As restated £ 000
Fixed assets				
Deferred tax asset		614	1,196	1,810
Current assets				
Debtors		1,506	-	1,506
Net assets/(liabilities)		2,120	1,196	3,316
Capital and reserves				
Profit and loss account		(902)	1,196	294
ESOP reserve		3,022	-	3,022
Shareholders' funds/(deficit)		2,120	1,196	3,316

Balance sheet at 26 December 2015

	Note	As originally reported £ 000	Remeasurement £ 000	As restated £ 000
Fixed assets				
Deferred tax asset		574	705	1,279
Current assets				
Debtors		2,870	14,650	17,520
Creditors: Amounts falling due within one year		-	1,181	1,181
Net current assets/(liabilities)		2,870	15,831	18,701
Net assets/(liabilities)		3,444	16,536	19,980
Capital and reserves				
Profit and loss account		(268)	16,536	16,268
ESOP reserve		3,712	-	3,712
Shareholders' funds/(deficit)		3,444	16,536	19,980

16 Transition to FRS 101 (continued)

Profit and loss account for the year ended 26 December 2015

	Note	As originally reported £ 000	Remeasurement £ 000	As restated £ 000
Turnover		91,112	(3,500)	87,612
Cost of sales		(89,524)	19,331	(70,193)
Operating profit/(loss)		1,588	15,831	17,419
Other interest receivable and similar income		35	-	35
Profit/(loss) before tax		1,623	15,831	17,454
Tax on profit on ordinary activities		1,131	(1,179)	(48)
Profit/(loss) for the financial year		2,754	14,652	17,406